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# GCE A LEVEL MARKING SCHEME

**PREDICTED 2025**

**A LEVEL**
**ECONOMICS - COMPONENT 2**
**A520U20-1**

*PREDICTED PAPER 2 (MODERATE)*

**About this marking scheme**

The purpose of this marking scheme is to provide teachers, learners, and other interested parties, with an understanding of the assessment criteria used to assess this specific assessment.

This marking scheme reflects the criteria by which this assessment would be marked in a live series and has been prepared for predicted-paper use. It may not be possible, or appropriate, to capture every variation that a candidate may present in their responses within this marking scheme. Examiners are expected to use their professional judgement to credit alternative valid responses as instructed by the document.

Without the benefit of participation in an examiners' conference, teachers, learners and other users, may have different views on certain matters of detail or interpretation. Therefore, it is strongly recommended that this marking scheme is used alongside other guidance, such as published exemplar materials or Guidance for Teaching.

## GENERAL MARKING GUIDANCE

**Positive Marking**

It should be remembered that learners are writing under examination conditions and credit should be given for what the learner writes, rather than adopting the approach of penalising him/her for any omissions. It should be possible for a very good response to achieve full marks and a very poor one to achieve zero marks. Marks should not be deducted for a less than perfect answer if it satisfies the criteria of the mark scheme, nor should marks be added as a consolation where they are not merited.

For each question there is a list of indicative content which suggests the range of economic concepts, theory, issues and arguments which might be included in learners' answers. This is not intended to be exhaustive and learners do not have to include all the indicative content to reach the highest level of the mark scheme.

The level-based mark schemes sub-divide the total mark to allocate to individual assessment objectives. These are shown in bands in the mark scheme. For each assessment objective a descriptor will indicate the different skills and qualities at the appropriate level. Learners' responses to questions are assessed against the relevant individual assessment objectives and they may achieve different bands within a single question. A mark will be awarded for each assessment objective targeted in the question and then totalled to give an overall mark for the question.

# GCE A LEVEL ECONOMICS - COMPONENT 2

**PREDICTED 2025 MARK SCHEME - MODERATE**

## Question 1

| | | |
|---|---|---|
| **1** | **1** | **Using the data, explain why the share of UK electricity generated from renewable sources has increased in recent years. [5]** |

| Band | AO1 | AO2 | AO3 |
|---|---|---|---|
| **2** | | **2 marks**<br>**Good application**<br>Strong use of the figures and/or text to support the argument. | **2 marks**<br>**Good analysis**<br>Developed chain of reasoning explaining the issue identified in the question. |
| **1** | **1 mark**<br>**Knowledge**<br>Clear knowledge of the relevant concept is demonstrated. | **1 mark**<br>**Limited application**<br>Use of the data is limited with few direct references. | **1 mark**<br>**Limited analysis**<br>Chain of reasoning is unconvincing or lacking in clarity. |
| **0** | **0 marks**<br>No valid knowledge or understanding. | **0 marks**<br>No valid application. | **0 marks**<br>No valid analysis. |

**Indicative content**

**AO1**

• Renewable energy: energy generated from sources that are naturally replenished such as wind, solar and hydro.

**AO2**

• Figure 1 shows a rise in the renewable share from around 7% in 2010 to around 47% in 2023 — roughly a six-fold increase.

• The text notes that coal-fired capacity has been closed and replaced with wind and solar.

• Text references Contracts for Difference, carbon pricing and planning reform as policy drivers.

**AO3**

• Carbon pricing raises the private cost of using fossil fuels towards their social cost, which makes renewables relatively cheaper, incentivising generators to invest in them.

• Contracts for Difference reduce the risk borne by renewable developers by guaranteeing a strike price, lowering the cost of capital and making more projects financially viable.

• Technological progress has lowered the levelised cost of wind and solar generation, so renewables win more auctions against fossil plants.

• The 2050 net-zero target creates a long-run policy signal that encourages long-lived investment in low-carbon generation.

• Allow any other valid chain of reasoning.

*Allow any other valid points.*

| 1 | 2 | **Using the data, explain why carbon taxes may have a regressive effect on low-income households. [5]** |
|---|---|---|

| Band | AO2 | AO3 |
|---|---|---|
| 3 | | **3 marks**<br>**Excellent analysis**<br>Well-developed chain of reasoning that examines several factors linked to the issue identified in the question. |
| 2 | **2 marks**<br>**Good application**<br>Strong use of charts and/or text to support the points made. | **2 marks**<br>**Good analysis**<br>Well-developed chain of reasoning explaining why the issue identified in the question holds. |
| 1 | **1 mark**<br>**Limited application**<br>Use of the data is limited with few direct references. | **1 mark**<br>**Limited analysis**<br>A chain of reasoning exists, but points are under-developed. |
| 0 | **0 marks**<br>No valid application. | **0 marks**<br>No valid analysis. |

**Indicative content**

**AO2**

• Figure 3 shows the poorest decile spends around 12% of income on domestic energy vs around 3% for the richest.

• Text: low-income households spend a larger share of income on energy, transport and food, all affected by carbon pricing.

• Text: without recycling the revenue, carbon taxes risk being regressive.

**AO3**

• A regressive tax takes a larger proportion of income from lower earners than from higher earners. Because energy is a necessity with low price elasticity of demand, the poor cannot easily reduce their consumption when carbon taxes raise energy prices.

• The pass-through of carbon taxes into consumer prices for electricity and gas therefore reduces the real disposable income of low-income households by a greater proportion than that of rich households.

• Indirect effects compound the problem: carbon costs are embodied in the price of food (fertilisers, transport), transport fuel and heating, which together form a larger share of low-income household budgets.

• Wealthier households can also afford to invest in efficiency (insulation, EVs, heat pumps) which reduce their exposure to carbon taxes over time; low-income households cannot.

• Allow any other valid chain of reasoning.

*Allow any other valid points.*

| 1 | 3 | **Evaluate the likely effectiveness of carbon taxes as a way of reducing UK greenhouse gas emissions. [10]** |
|---|---|---|

| Band | AO2 | AO3 | AO4 |
|---|---|---|---|
| 3 | **3 marks**<br>**Excellent application**<br>The data is used well on both sides of the argument. | **3 marks**<br>**Excellent analysis**<br>Well-developed and wider-ranging chains of reasoning on one side of the argument. | **3-4 marks**<br>**Excellent evaluation**<br>Well-developed counter-arguments and evaluative points. Answers at the top of the band will have a well-reasoned overall judgement. |
| 2 | **2 marks**<br>**Good application**<br>The data is well used on one side of the argument. | **2 marks**<br>**Good analysis**<br>Developed chains of reasoning on one side of the argument. | **2 marks**<br>**Good evaluation**<br>Developed counter-arguments or evaluative points. |
| 1 | **1 mark**<br>**Limited application**<br>Use of the data is less effective. Relevant data has been used but not well developed. | **1 mark**<br>**Limited analysis**<br>Chains of reasoning exist but are under-developed. | **1 mark**<br>**Limited evaluation**<br>Counter-arguments are present but are under-developed. |
| 0 | **0 marks**<br>No valid application. | **0 marks**<br>No valid analysis. | **0 marks**<br>No valid evaluation. |

**Indicative content**

**AO2**

• The UK already has a carbon price through the UK ETS and recent policy has pushed renewables to 47% of generation.

• UK emissions are less than 1% of the world total — scale limits the global impact of unilateral action.

• The debt-to-GDP ratio is close to 100%, constraining Treasury revenue options that could substitute for a higher carbon tax.

**AO3**

• Carbon taxes internalise the negative externality of greenhouse gas emissions, moving private cost closer to social cost and reducing the deadweight welfare loss at market output.

• Higher carbon prices alter relative prices and incentivise both consumers (towards lower-emission alternatives) and producers (towards cleaner technologies).

• Revenue raised can be recycled to fund public investment in low-carbon infrastructure or rebated to low-income households, tackling the regressivity concern.

• Unlike regulation, a uniform carbon price delivers emissions reductions where they are cheapest, which is productively efficient.

• Over time the incentive to invest in cleaner capital shifts the long-run abatement cost curve downwards.

**AO4**

• Effectiveness depends on price elasticity of demand for fossil fuels — in the short run demand for petrol and domestic gas is highly inelastic, so a given tax delivers only a small fall in quantity.

• Risk of carbon leakage: UK producers may lose competitiveness to unregulated overseas rivals, relocating emissions rather than eliminating them.

• Regressive impact on low-income households can undermine political sustainability — the French gilets jaunes protests are a well-known example.

• Effectiveness depends on complementary investment in alternative technologies (grid capacity, charging networks, heat pumps). Without this, consumers have nowhere to switch to.

• Because UK emissions are less than 1% of the global total, even a very effective UK carbon tax has only modest effect on global climate outcomes unless mirrored internationally.

• At a macroeconomic level, sharply rising carbon prices could trigger cost-push inflation and reduce competitiveness of energy-intensive industry.

• Overall judgement expected at the top of the band: carbon taxes can make an important contribution if well-designed, but are unlikely to be sufficient on their own — they require complementary investment, revenue recycling and international coordination.

*Allow any other valid points.*

| 1 | 4 | **Using the data, discuss whether government subsidies are the most effective way to accelerate the adoption of renewable energy. [10]** |
|---|---|---|

| Band | AO2 | AO3 | AO4 |
|---|---|---|---|
| 3 | **3 marks**<br>**Excellent application**<br>The data is used well on both sides of the argument. | **3 marks**<br>**Excellent analysis**<br>Well-developed and wider-ranging chains of reasoning on one side of the argument. | **3-4 marks**<br>**Excellent evaluation**<br>Well-developed counter-arguments and evaluative points. Answers at the top of the band will have a well-reasoned overall judgement. |
| 2 | **2 marks**<br>**Good application**<br>The data is well used on one side of the argument. | **2 marks**<br>**Good analysis**<br>Developed chains of reasoning on one side of the argument. | **2 marks**<br>**Good evaluation**<br>Developed counter-arguments or evaluative points. |
| 1 | **1 mark**<br>**Limited application**<br>Use of the data is less effective. Relevant data has been used but not well developed. | **1 mark**<br>**Limited analysis**<br>Chains of reasoning exist but are under-developed. | **1 mark**<br>**Limited evaluation**<br>Counter-arguments are present but are under-developed. |
| 0 | **0 marks**<br>No valid application. | **0 marks**<br>No valid analysis. | **0 marks**<br>No valid evaluation. |

**Indicative content**

**AO2**

• Figure 1 shows renewables have risen from 7% to 47% — the existing policy mix (CfDs, carbon pricing, planning) has already delivered substantial progress.

• Figure 2 shows UK household electricity prices remain among the highest in Europe despite renewable growth — subsidies have not translated into cheaper bills.

• Text notes large subsidies require significant public spending at a time when debt-to-GDP is close to 100%.

**AO3**

• Subsidies reduce the cost of producing renewable energy (shifting supply right) and can lower the hurdle rate of return, attracting private capital that would otherwise not invest.

• Because low-carbon generation produces a positive externality, the market would under-provide it at a free-market equilibrium. Subsidies therefore correct allocative inefficiency.

• Demand-side subsidies (EV grants, heat pump grants, insulation grants) reduce the upfront cost of consumer switching and accelerate diffusion.

• Provide certainty and a long-run price signal that supports economies of scale and learning effects in nascent technologies.

**AO4**

• Subsidies are expensive and raise the opportunity cost of other public spending — at current debt levels they may not be sustainable.

• Risk of government failure: picking winners means subsidising technologies that turn out to be inferior (e.g. early diesel subsidies).

• Subsidies alone do not raise the cost of high-carbon alternatives; a carbon tax does both sides of the margin simultaneously and is generally more efficient.

• Regulation (e.g. bans on the sale of new gas boilers from 2035) can be cheaper for the Treasury but shifts cost onto households.

• Effectiveness depends on complementary grid and planning reform: subsidies for offshore wind are wasted if there is no grid capacity to bring power onshore.

• A balanced policy mix — combining a carbon price, targeted subsidies for nascent technologies, and regulation of standards — is generally more effective than any one instrument alone.

• Overall judgement at the top of the band: subsidies are an important tool but not the single most effective one.

*Allow any other valid points.*

| 1 | 5 | **Using the data, discuss the extent to which the UK's transition to net zero will benefit low-income households. [10]** |
|---|---|---|

| Band | AO2 | AO3 | AO4 |
|---|---|---|---|
| 3 | **3 marks**<br>**Excellent application**<br>The data is used well on both sides of the argument. | **3 marks**<br>**Excellent analysis**<br>Well-developed and wider-ranging chains of reasoning on one side of the argument. | **3-4 marks**<br>**Excellent evaluation**<br>Well-developed counter-arguments and evaluative points. Answers at the top of the band will have a well-reasoned overall judgement. |
| 2 | **2 marks**<br>**Good application**<br>The data is well used on one side of the argument. | **2 marks**<br>**Good analysis**<br>Developed chains of reasoning on one side of the argument. | **2 marks**<br>**Good evaluation**<br>Developed counter-arguments or evaluative points. |
| 1 | **1 mark**<br>**Limited application**<br>Use of the data is less effective. Relevant data has been used but not well developed. | **1 mark**<br>**Limited analysis**<br>Chains of reasoning exist but are under-developed. | **1 mark**<br>**Limited evaluation**<br>Counter-arguments are present but are under-developed. |
| 0 | **0 marks**<br>No valid application. | **0 marks**<br>No valid analysis. | **0 marks**<br>No valid evaluation. |

**Indicative content**

**AO2**

• Figure 3: poorest decile spends 12% of income on energy vs 3% for richest — exposure to energy price changes is regressive.

• Text: green jobs may be concentrated in North East, Humberside and South Wales — regions which also have lower average incomes.

• Text: risk of job displacement in carbon-intensive industries, which in the UK are disproportionately located outside London and the South East.

**AO3**

• Net zero creates new employment in offshore wind, heat pump installation, EV manufacturing and grid upgrades. If these jobs locate in low-income regions, regional inequalities may narrow.

• Transport and heating bills for low-income households fall in the long run once they adopt electric alternatives powered by cheaper renewables.

• Reduced exposure to fossil-fuel price volatility (gas price spikes of 2022) particularly benefits households where energy is a large share of the budget.

• Air-quality benefits from reduced fossil-fuel burning disproportionately accrue to low-income areas near busy roads and industrial sites.

**AO4**

• The transition itself is expensive: retrofitting homes with heat pumps, insulation and EVs requires upfront capital that low-income households cannot easily raise.

• Without income-targeted subsidies or grants, low-income households bear the cost of carbon taxes without being able to switch to cleaner alternatives (regressive effect).

• Stranded workers in oil and gas, high-carbon manufacturing and car parts face real risks of displacement, especially without effective retraining and regional policy.

• Benefits are long run while costs are short run — low-income households have higher discount rates and are less able to wait.

- Much depends on the design of carbon tax revenue recycling and on the willingness of government to target subsidies at low-income users.
- If policies outlined in the stimulus are poorly coordinated with regional / labour market policies, the transition may worsen regional and income inequality rather than reduce it.
- Overall judgement at the top of the band: the net zero transition could benefit low-income households, but only if policy design deliberately targets them; the default path is likely to be regressive.

*Allow any other valid points.*

## Question 2

| | | |
|---|---|---|
| 2 | 1 | **Using the data, outline the characteristics of oligopoly shown in the UK supermarket market. [5]** |

| Band | AO1 | AO2 |
|---|---|---|
| 3 | | **3 marks**<br>**Excellent application**<br>Good use of both examples / figures to illustrate the features of the market structure. |
| 2 | **2 marks**<br>**Good knowledge**<br>Comprehensive understanding of the characteristics of the market structure. | **2 marks**<br>**Good application**<br>Good use of one of the examples to illustrate the features of the market structure. |
| 1 | **1 mark**<br>**Limited knowledge**<br>Understanding of the market structure is superficial, incomplete or contains some inaccuracies. | **1 mark**<br>**Limited application**<br>Data references are superficial. |
| 0 | **0 marks**<br>No valid knowledge or understanding. | **0 marks**<br>No valid application. |

**Indicative content**

**AO1**

• Oligopoly: a market dominated by a small number of large firms with significant barriers to entry.

• Characteristics: high concentration ratio, interdependence between firms, price stickiness, non-price competition, product differentiation, high entry barriers.

**AO2**

• Figure 1: the top four firms (Tesco, Sainsbury's, Asda, Aldi) account for around 66% of the market — high 4-firm concentration ratio is evidence of oligopoly.

• 'Aldi Price Match' illustrates strategic interdependence: Tesco explicitly sets its prices in response to a rival.

• Extensive non-price competition — Clubcard, Nectar, same-day delivery, own brands — rather than pure price competition.

• Text references previous CMA investigations (£50m fine for exchanging price information), consistent with oligopolistic behaviour.

• Barriers to entry are real: established distribution networks, supplier relationships, and retail planning constraints for new superstores.

*Allow any other valid points.*

 

| 2 | 2 | **Calculate MR and MC for each output level and identify the profit-maximising output. [7]** |
|---|---|---|

| Band | AO1 | AO2 | AO3 |
|---|---|---|---|
| 3 | | **3 marks**<br>**Excellent application**<br>Use of the data is comprehensive displaying all calculated values correctly. | **3 marks**<br>**Excellent analysis**<br>Well-developed chain of reasoning explaining the output / employment at which the objective is achieved. |
| 2 | | **2 marks**<br>**Good application**<br>Strong use of data with either the revenue-side or the cost-side schedule calculated accurately. Or calculated correctly in units rather than per unit. | **2 marks**<br>**Good analysis**<br>Developed chain of reasoning showing how the optimal level of output / employment is determined. Some parts of the explanation are incomplete or unclear. |
| 1 | **1 mark**<br>**Knowledge**<br>Knowledge of the relevant profit-maximisation / employment / output condition is shown. | **1 mark**<br>**Limited application**<br>Use of the data is limited with significant inaccuracies in the calculations. | **1 mark**<br>**Limited analysis**<br>Chain of reasoning is unconvincing or lacking in clarity. |
| 0 | **0 marks**<br>No valid knowledge or understanding. | **0 marks**<br>No valid application. | **0 marks**<br>No valid analysis. |

**Indicative content**

**AO1**

• Profits are maximised at the output at which MR = MC.

**AO2**

• TR schedule (£): 0, 2200, 4000, 5400, 6400, 7000, 7200, 7000, 6400.

• MR per 100 baskets (£): —, 2200, 1800, 1400, 1000, 600, 200, –200, –600.

• MC per 100 baskets (£): —, 90, 60, 80, 100, 120, 140, 180, 260.

• On a per-basket basis: MR starts at £22 and falls by £2 each 100 baskets; MC moves from £0.90 to £2.60 per basket.

• MR and MC per 100 baskets intersect between Q=400 (MR=1000, MC=100) and Q=500 (MR=600, MC=120) — profit-max at Q=400 where MR>MC is just exhausted.

• For MR and MC correctly calculated in units of 100: AO2: 2

• For one of MR and MC correctly calculated: AO2: 1

**AO3**

• Firm maximises profit at Q=400 baskets/week where MR>MC for the last unit produced. (Allow OFR.)

• At Q=400 the extra revenue from the last 100 baskets is £1000 and the extra cost is £100, so the last block adds £900 to profit.

• If output were raised to Q=500, MR falls to £600 per 100 baskets while MC rises to £120, so the extra 100 baskets still add profit but by less.

• Beyond Q=500 any further increase would see MC overtake MR and therefore reduce profit.

• Total profit is highest at Q=400 (TR £6400 – TC £580 = £5820) — this is the profit-maximising output because all units where MR>MC have been produced and no units where MC>MR have been.

• Allow OFR where calculations have been done correctly on candidate's own figures.

*Allow any other valid points.*

| 2 | 3 | **Using a costs and revenue diagram, evaluate the effects on a supermarket's abnormal profits of participating in an 'Aldi Price Match' scheme. [10]** |
|---|---|---|

| Band | AO1 | AO2 | AO3 | AO4 |
|---|---|---|---|---|
| 3 | **3 marks**<br>**Excellent knowledge**<br>An accurate costs and revenue diagram is drawn showing both required shifts clearly. | | | **3 marks**<br>**Excellent evaluation**<br>Impact on profits is fully discussed with a judgement as to whether profits rise or fall. |
| 2 | **2 marks**<br>**Good knowledge**<br>An accurate costs and revenue diagram is drawn correctly showing one of the two required shifts, or both with some errors. | **2 marks**<br>**Good application**<br>The case is used to indicate how both changes arise. | **2 marks**<br>**Good analysis**<br>Good chain of reasoning explaining the net effect on profits. | **2 marks**<br>**Good evaluation**<br>The answer has developed counter-arguments or evaluative points. |
| 1 | **1 mark**<br>**Limited knowledge**<br>A costs and revenue diagram is drawn but with significant errors. | **1 mark**<br>**Limited application**<br>The case is used to indicate how the change in demand or costs arises, but weakly. | **1 mark**<br>**Limited analysis**<br>Chain of reasoning is less well-developed; link to profits is less clear. | **1 mark**<br>**Limited evaluation**<br>Counter-arguments are present but lack development. |
| 0 | **0 marks**<br>No valid knowledge or understanding. | **0 marks**<br>No valid application. | **0 marks**<br>No valid analysis. | **0 marks**<br>No valid evaluation. |

**Indicative content**

**AO1**

• Kinked demand curve diagram or conventional oligopoly diagram showing AR, MR, AC, MC.

• Abnormal profit identified at MC = MR, with AR > AC at profit-maximising output.

• Price match scheme modelled as: AR and MR flatter at current price (more elastic above), or price fixed at match level so AR/MR shift down.

**AO2**

• The text notes the match shifts consumer perception: the scheme 'guarantees that the price is no higher than Aldi'.

• Schemes can widen the customer base but at lower margin per unit — classic price-quantity trade-off.

• CMA review of 2023 highlighted that perceived price competitiveness matters to consumers in a cost-of-living crisis.

**AO3**

• Participating limits the firm's ability to price above Aldi on matched lines, so AR and MR shift down on those lines.

• Quantity rises because the firm becomes a closer substitute for Aldi (XED increases), but price per unit falls — net effect on TR ambiguous.

• If MR falls more than MC, the distance AR–AC narrows and abnormal profit falls.

• Alternatively, if the scheme raises footfall and customers buy higher-margin unmatched lines as well, AR/MR could shift right enough to raise total abnormal profit.

**AO4**

• Effectiveness depends on what share of the basket is matched — if only 300 lines out of 25,000 are matched, the profit impact is small.

• Rival reactions matter (kinked demand): if Sainsbury's and Morrisons also match, the scheme cancels out and Tesco's market share does not rise — only margins fall.

• Loyalty-scheme tie-ins (Clubcard Prices) can offset the margin loss by locking in customers.

• In the long run, consumers adjust beliefs about relative prices; initial boost to footfall may decay.

• Overall judgement: likely modest negative effect on per-unit margin offset by positive volume effect; the net direction on abnormal profit is an empirical question and depends on elasticity and rival response.

*Allow any other valid points.*

| 2 | 4 | **Evaluate the view that tacit collusion is inevitable in oligopoly markets. [7]** |
|---|---|---|

| Band | AO1 | AO3 | AO4 |
|---|---|---|---|
| **3** | | | **3 marks**<br>**Excellent evaluation**<br>Strong evaluation which forms a clear judgement on the statement. |
| **2** | **2 marks**<br>**Good knowledge**<br>Clear understanding of the relevant concept is shown. | **2 marks**<br>**Good analysis**<br>Clear chain of reasoning supporting the view in the question. | **2 marks**<br>**Good evaluation**<br>Developed counter-arguments or evaluative points. |
| **1** | **1 mark**<br>**Limited knowledge**<br>Partial understanding of the relevant concept is shown. | **1 mark**<br>**Limited analysis**<br>The chain of reasoning lacks clarity or detail and is unconvincing. | **1 mark**<br>**Limited evaluation**<br>Counter-arguments are present but lack development. |
| **0** | **0 marks**<br>No valid knowledge or understanding. | **0 marks**<br>No valid analysis. | **0 marks**<br>No valid evaluation. |

**Indicative content**

**AO1**

• Tacit collusion: firms coordinate prices or output without explicit agreement, typically through parallel behaviour, price leadership, or conscious focal points.

• Contrasts with explicit (illegal) cartels and with competitive outcomes.

**AO3**

• Oligopoly markets feature high interdependence — each firm's pricing affects rivals' profits — which creates an incentive to avoid price wars.

• Few firms make it relatively easy to monitor each other's prices (price transparency) so deviations are spotted and punished quickly.

• Repeated interaction supports cooperative equilibria under game-theoretic logic — grim-trigger strategies sustain tacit collusion even without communication.

• Product homogeneity and stable demand conditions (as in many supermarket categories) make tacit coordination easier.

**AO4**

• Tacit collusion is not inevitable — it breaks down when firms have asymmetric costs or demands, or when a new entrant disrupts the market (Aldi/Lidl).

• Regulatory oversight reduces the incentive to collude: CMA fines and reputational damage from investigations raise the expected cost of coordination.

• Innovation and product differentiation can create competitive dynamics that override tacit coordination (e.g. online delivery disrupting groceries).

• Tacit collusion is most likely in mature, concentrated markets with stable demand — many oligopolies do not fit this profile.

• The UK supermarket market itself shows that tacit collusion has broken down under competitive pressure from discounters, with the 'big four' losing margin to Aldi/Lidl over the last decade.

• Overall judgement: tacit collusion is a strong tendency in some oligopolies but not inevitable — regulation, entry, and product heterogeneity can all prevent it.

*Allow any other valid points.*

| 2 | 5 | **With reference to the data, discuss the extent to which oligopoly in the UK supermarket industry leads to a reduction in economic welfare. [11]** |
|---|---|---|

| Band | AO1 | AO2 | AO3 | AO4 |
|---|---|---|---|---|
| 3 | | | **3 marks**<br>**Excellent analysis**<br>Well-developed explanation with a clear chain of reasoning linking directly to the question focus. | **3-4 marks**<br>**Excellent evaluation**<br>Very well-developed counter-arguments and evaluative points, with a well-reasoned overall judgement at the top of the band. |
| 2 | **2 marks**<br>**Good knowledge**<br>A clear knowledge of the relevant concept is demonstrated. | **2 marks**<br>**Good application**<br>The answer is well contextualised, making use of the case on both sides of the argument. | **2 marks**<br>**Good analysis**<br>Developed explanation of the central chain of reasoning but some aspects are unclear. | **2 marks**<br>**Good evaluation**<br>The answer has developed counter-arguments or evaluative points. |
| 1 | **1 mark**<br>**Limited knowledge**<br>Some knowledge of the relevant concept is shown. | **1 mark**<br>**Limited application**<br>Some references to the context, but these are not well developed. | **1 mark**<br>**Limited analysis**<br>Candidate offers a limited or only partially correct analysis. | **1 mark**<br>**Limited evaluation**<br>Counter-arguments are present, but none well developed. |
| 0 | **0 marks**<br>No valid knowledge or understanding. | **0 marks**<br>No valid application. | **0 marks**<br>No valid analysis. | **0 marks**<br>No valid evaluation. |

**Indicative content**

**AO1**

• Economic welfare: difference between social benefit and social cost of an economic activity; micro level = allocative efficiency / consumer+producer surplus; macro level = living standards.

**AO2**

• Figure 1: top four firms control ~66% of the market — high concentration.

• £50m fine for exchanging price data suggests historical welfare-harming behaviour.

• CMA 2023 review focused on margins during the cost-of-living crisis — consumer welfare concern.

• Rural consumers with only one supermarket within easy reach face geographic monopoly power.

• But: the growth of Aldi and Lidl has expanded consumer choice and put downward pressure on prices.

**AO3**

• Oligopoly reduces allocative efficiency because P > MC: consumers pay more than the marginal cost of production, creating a deadweight welfare loss.

• Productive inefficiency may arise if firms do not face pure price competition — costs are not minimised and non-price competition wastes resources on marketing and packaging.

• Abnormal profits are transferred from consumers to producers, reducing consumer surplus and raising producer surplus.

• Tacit collusion can sustain prices above competitive levels for extended periods, compounding the welfare loss.

**AO4**

• Large firms benefit from economies of scale — lower average cost than many small firms would achieve, which keeps prices lower than under perfect competition.

• Non-price competition delivers consumer benefits — convenience of delivery, product range, quality assurance, recipes, own-brand value ranges.

• Entry by Aldi and Lidl shows the market is contestable: abnormal profits attract new entrants, which constrains incumbent firms' pricing power.

• Strong supermarkets have bargaining power over suppliers which can lower prices to consumers — though this may harm producer welfare upstream (supplier squeeze).

• R&D and innovation spending (online platforms, logistics, loyalty schemes) may be higher under oligopoly than in perfect competition.

• Regulation (CMA) can mitigate the worst abuses, so the net welfare effect depends on the quality of oversight.

• Overall judgement at the top of the band: oligopoly probably reduces welfare below a hypothetical competitive benchmark, but the real-world counter-factual is not perfect competition; given the benefits of scale and the role of new entrants, the welfare loss may be smaller than simple textbook diagrams suggest.

*Allow any other valid points.*

## AO Grid

| | AO1 | AO2 | AO3 | AO4 | Total |
|---|---|---|---|---|---|
| **1a** | 1 | 2 | 2 | | 5 |
| **1b** | | 2 | 3 | | 5 |
| **1c** | | 3 | 3 | 4 | 10 |
| **1d** | | 3 | 3 | 4 | 10 |
| **1e** | | 3 | 3 | 4 | 10 |
| **2a** | 2 | 3 | | | 5 |
| **2b** | 1 | 3 | 3 | | 7 |
| **2c** | 3 | 2 | 2 | 3 | 10 |
| **2d** | 2 | | 2 | 3 | 7 |
| **2e** | 2 | 2 | 3 | 4 | 11 |
| **Total** | **11** | **23** | **24** | **22** | **80** |

*A520U20-1 EDUQAS GCE A Level Economics - Component 2 MS Predicted 2025 (MODERATE)*